

auto and engineering were not impacted and continue to do well. "Problems continue for sectors such as garments and textiles, leather and gems and jewellery, and capital goods that are exposed to the global markets... Many of these markets are now entering into recession and these companies are the worst hit," says Bhardwaj.

While government spending on infrastructure and housing, and the resurgence in domestic demand have given a boost to these sectors, there continues to be pain points. "The biggest challenges for MSMEs to compete with cheaper imports in India or exports abroad are access to better technology and getting timely payments," says Bhardwaj.

K.E. Raghunathan, National Chairman of Chennai-based Association of Indian Entrepreneurs (AIE), distils MSMEs' problems down to 5Ms: money, marketing, materials, manpower, and modernisation. "These vital needs of MSMEs have been poorly addressed by policy-makers... For any policy intervention, there is a need for data but... the Ministry of MSME is yet to collect data on all existing MSMEs," he says.

Labour economist Santosh Mehrotra, a retired JNU professor, agrees. "There is not any updated data on MSMEs for comprehensive policy action. The NSSO conducted the Unincorporated Non-Agricultural Enterprises sample survey in a five-year interval and the last report is available for 2015-16," he notes.

Nirav Shah, Founder of Zyapaar, a networking platform for MSMEs, says the three key challenges are credit access, technology and digital adoption, and market access. "Because of these challenges, there is a huge gap between what the MSMEs are doing and what they can do."

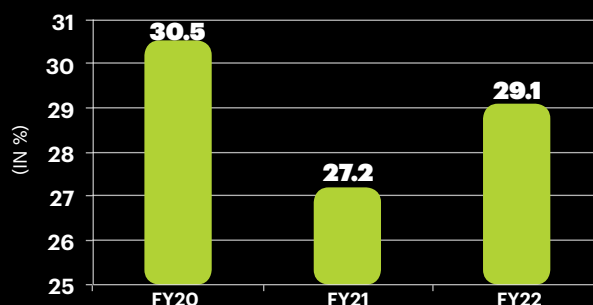
PAYMENT DELAYS

The biggest challenge for MSMEs is getting timely payments. According to some estimates, as much as ₹10.7 lakh crore of dues for small businesses are stuck. Ahluwalia of Aquatic Freights says it took one and a half years to get a payment from a central government ministry for an overseas consignment, and another six months to get paid by a large private infrastructure company. "The MSME Samadhaan portal made us run back and forth between Delhi and Mumbai and eventually did not yield any re-

ECONOMIC CONTRIBUTION

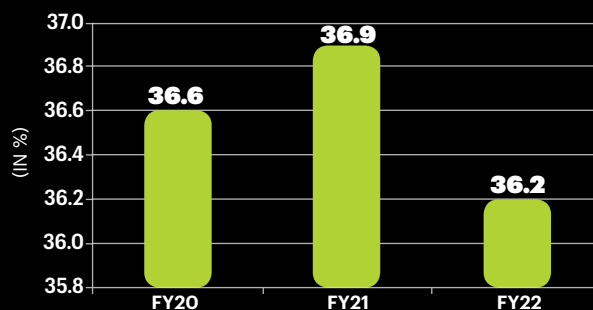
► MSMEs are a significant contributor to manufacturing and exports ► Robust MSME activity will be key for India's growth

SHARE OF MSMEs IN INDIA'S GVA



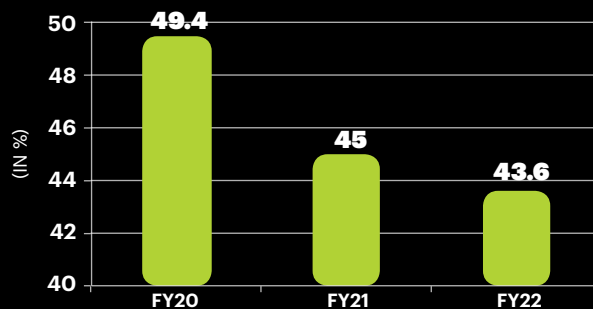
SOURCE OFFICIAL STATISTICS/ MSME MINISTRY

SHARE IN INDIA'S MANUFACTURING OUTPUT



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SHARE IN EXPORTS



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